Sacred

Lightpaper

Halal leverage for traders. Real yield for depositors. No interest anywhere.

Read this first. Sacred is at design stage. No Shariah board has reviewed it yet, so nothing here is certified halal. Every number is a proposal or a backtest result, not a promise. This paper is not an offer to sell anything.

Smit Rajput, founder. Aionera FZ-LLC, UAE. October 2026.

1 The problem

Muslims are locked out of the two biggest things in DeFi.

- **Leverage.** Perps and margin run on interest, funding payments and selling what you do not own. In 2006 the Muslim World League's Fiqh Council ruled against margin trading for four reasons: fees for delay, a loan tied to a sale, selling what is not owned, and excessive risk.
- **Yield.** Stablecoin yield comes from lending at interest. That is riba.

So a Muslim trader either sits out or trades against their own faith. A Muslim saver holds idle stablecoins. We think both deserve better, and we think the fix is simple.

2 The idea

Do not lend. Sell.

A vault buys a real asset, a commodity-like crypto asset such as BTC or ETH, and sells it to the trader at cost plus a fixed markup. The trader pays a part now and the rest later. The asset stays pledged until the balance is paid. That is all.

There is no loan, so there is no interest. The price is fixed once and never grows. The asset is real and owned before it is sold. These are three contracts Muslims have used for centuries:

Contract	Between	In one line
Mudarabah	Depositors and the manager	Depositors fund, the manager runs the desk, profit is shared, nothing is guaranteed
Murabaha	The vault and the trader	A sale at disclosed cost plus a fixed markup, paid later
Rahn	The trader and the vault	The asset is pledged until the balance is paid

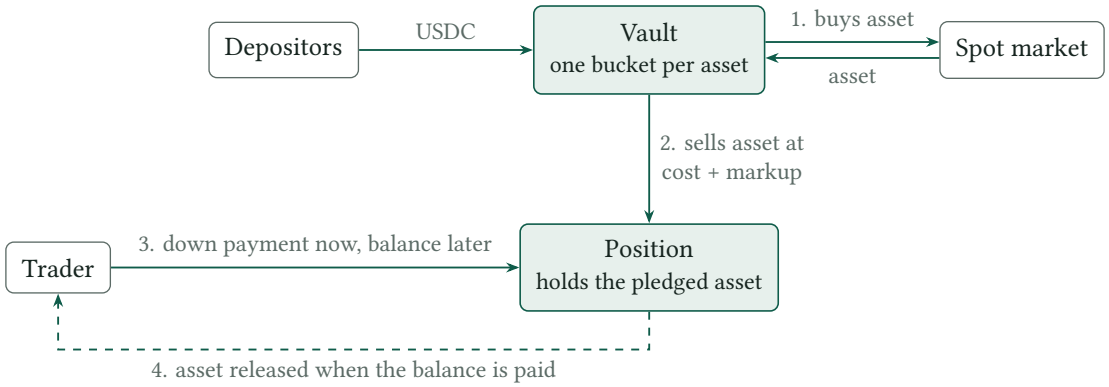

Figure 1: One financed purchase. Steps 1 to 3 happen in a single transaction.

3 The vault

The vault is where depositors earn.

- **Buckets.** One bucket per asset and mode. Buckets never share money or losses. You pick your bucket, so you pick your risk.

- **Yield is the markup.** Traders pay a fixed markup. **85% of it goes to depositors**, 10% to the manager and 5% to the bucket's loss reserve. Depositors earn whether traders win or lose.
- **A 9% target, smoothed.** The payout targets 9% a year. Weeks that earn more fill a payout reserve, up to 6% of deposits; weeks that earn less draw on it. Once the reserve is full, the surplus is split equally between depositors and the manager.
- **Nothing is promised.** No fixed yield, no capital guarantee. Loss falls on capital, as mudarabah requires.
- **Deposits follow demand.** New deposits are admitted only while more than 85% of the bucket is financed, at most 5% growth a week. If utilisation stays under 70% for 28 days, idle USDC is handed back.
- **Exits.** Withdraw instantly against idle cash while no position's cover is under 110%. Otherwise a weekly queue at the share price. Withdrawals rank ahead of new positions.
- **Idle cash waits.** USDC that is not financing a position sits in the vault and earns nothing. It is never lent and never put in a pool.
- **Shares cannot be traded.** A bucket mostly holds debts, and debt cannot be traded at a discount.
- **A loss reserve.** 5% of every markup stays in the bucket until the reserve holds 3% of deposits. It pays shortfalls first.

What it could pay. A bucket 85% financed at 17% a year earns about 12.3% a year for depositors, before any shortfalls. The 9% target is paid and the rest fills the payout reserve. In a simulation on Binance prices from 2018 to 2026, over 1,000 bootstrapped paths, the payout held at 9% or more in 99.6% of months, bull and bear. That is a simulation on proposed values, not a forecast.

4 The position

A position is one purchase of one asset by one trader.

Example. You put 1,000 USDC down on BTC at 3x for 14 days at a 17% yearly rate: the 15.5% markup plus a 1.5% gap premium on 3x term positions.

The vault buys BTC for	3,000.00
Your down payment	1,000.00
The vault finances	2,000.00
Markup: 2,000 × 17% × 14 / 365	13.04
You owe by the due date	**2,013.04**

That 13.04 is the whole cost. No opening fee, no closing fee, no late fee, no funding. Close on day 5 and you pay 4.66.

The rate. 15.5% a year while the bucket is at or under 85% financed, rising in a straight line to 30% at the 92% cap, plus the gap premium: 1.5% on 3x term positions, 0.5% on margin positions. Whatever it is at opening, it is fixed for the whole term. The minimum down payment is 100 USDC.

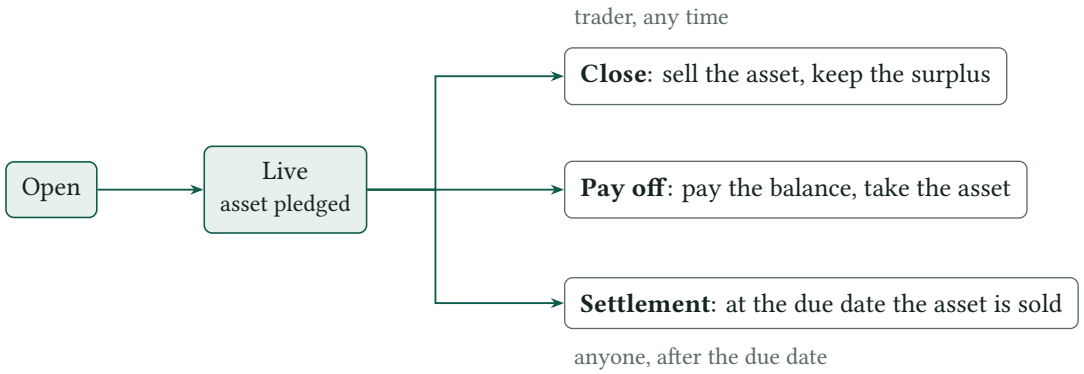

Figure 2: How a position ends. The trader can leave whenever they like and pays only for the days used.

The rules that never bend.

- The vault owns the asset before it sells it.
- The balance never increases. No penalty, no roll-over.
- The pledged asset is never lent, staked or reused. It is sold only on the open market, never back to the vault.
- **The trader never owes more than the pledged asset.** The worst case is losing the down payment.
- Closing, paying off and withdrawing can never be paused by anyone.

5 Three ways to trade

	Term	Margin	Evergreen
Status	Ships first	After a board ruling	After a board ruling
Length	7 or 14 days	Up to 30 days	365 days, pay only for days held
Leverage	BTC 3x, ETH 2x	3x to 5x on BTC and ETH	BTC 3x, ETH 2x
Early sale of the asset	Never	Part is sold if cover falls to 110%, enough to restore 115%	Part is sold if cover falls to 110%
Who carries a crash	The vault	Mostly the trader	Mostly the trader

Cover is the asset's value divided by what the trader owes today. All leverage figures are proposals to the board.

Term is the cleanest. There is no liquidation price, because nothing is ever sold before the due date.

Margin is how 5x works. A 10x perp is liquidated in full at about a 9% fall; a 5x margin position sells about a third of the asset at a 12% fall, and the trader keeps the rest of the position and all of their equity, less sale costs.

Evergreen is how we remove the deadline. The markup for a full year is fixed at opening, and the trader is charged only for the days used. A far away price trigger protects the vault in place of a near due date. At BTC 3x the price has to fall about 27% before anything is sold, and even then only part of the asset is sold.

Figure 3: Evergreen position at BTC 3x. The trigger starts 27% below the opening price and rises slowly as markup is earned.

6 Sharing the upside

When a position ends in profit, **the trader keeps 90% and 10% of net profit goes to the backstop fund**. That fund is what pays shortfalls, including the trader's own. A position that ends in a loss shares nothing.

Example. The position above, held to the due date with BTC up 20%. The asset sells for 3,600. Profit is 586.96. The fund receives 58.70. The trader keeps 1,528.26 on 1,000 down, a gain of 52.8% on a 20% move.

Net means a loss on an earlier position in the same bucket is carried forward for 90 days and set against later gains before anything is shared. Profit is measured at the price feed, not at the sale price, so the share cannot be moved by how the asset is sold. The split is shown on the order form before the position opens.

7 Safety first

Security and solvency come before everything else. Here is who pays when a pledged asset sells for less than the balance.

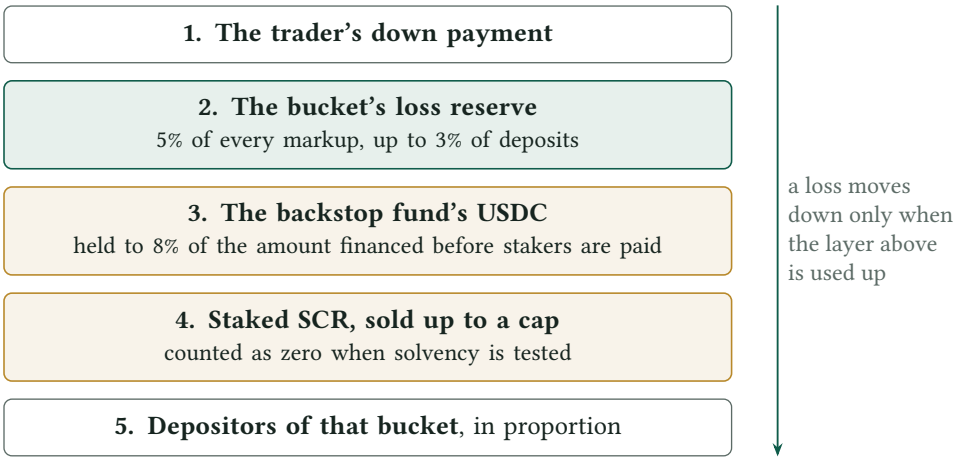

Figure 4: The order in which a loss is absorbed.

What the backtests say. We ran every design against Binance one minute prices from January 2020

to August 2026, with positions left unmanaged.

Position	Average loss per year	Worst year
Term, BTC 3x, 14 days	1.0%	5.1% (2020)
Term, ETH 2x, 14 days	0.0%	0.0%
Evergreen, BTC 3x, sales delayed 5 minutes	0.13%	1.4% (2020)
Evergreen, BTC 3x, nobody can sell for an hour	0.53%	4.4% (2020)

Losses are a share of the amount financed, against a markup of 15.5% to 17% a year. On chain markets are thinner than Binance, so treat these as a floor. The past does not bound the future.

What the whole-system simulation says. 1,000 paths bootstrapped from 2018 to 2026 prices, with deposits, rates, reserves and the fund modelled day by day.

Test	Result
Term only, BTC 3x and ETH 2x	Payout at or above 9% in every month. Depositors lose in 0.02% of years; worst year 0.5%
Margin mode added, 3x to 5x	Payout at or above 9% in 99.6% of months. No year with a depositor loss
A 60-minute outage on every forced sale	Payout unchanged. Depositors lose in 1.5% of years; worst year 7.1%

8 SCR

SCR is the protocol token. It has three jobs. Depositor yield does not depend on any of them.

- **Backstop.** People stake SCR and stand behind shortfalls. Leaving takes a cooldown, so nobody can run ahead of a loss. Stakers are paid in USDC from the traders' profit share, streamed over 90 days, and only from what the fund holds above 8% of the amount financed. There are no token emissions and no rebase.
- **Liquidity reserve.** A pool of USDC that deposits into a bucket when it is short of cash, so depositors can exit and traders can open. It is seeded from the raise and funded by selling SCR for USDC, never below the reserve's value per token and only while the reserve is below target, plus pool fees and a tenth of the profit share until it reaches its target.
- **One pool.** SCR/USDC on Uniswap v4, owned by the protocol. A 1% fee on buys and 3% on sells, in USDC: 20% to the treasury, the rest to the reserve until its target, then to the fund.

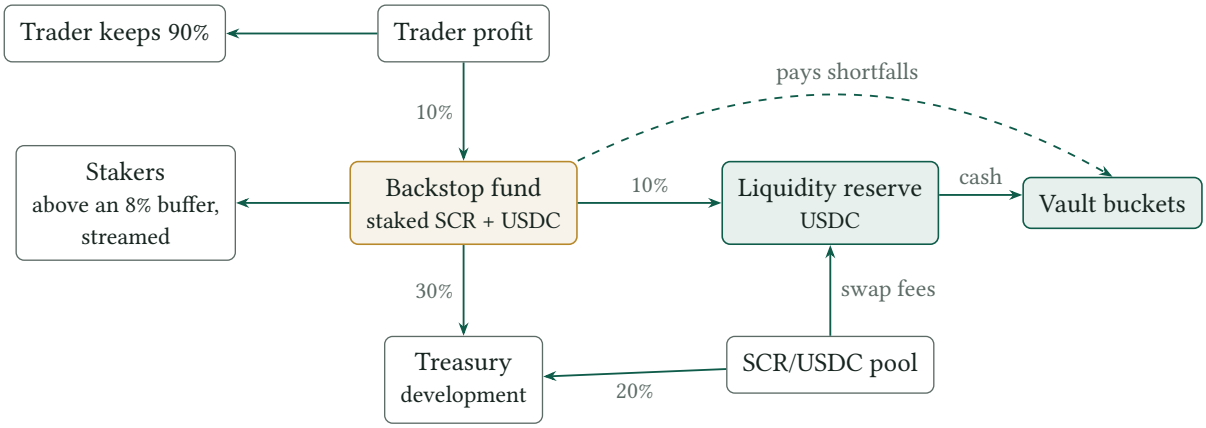

Figure 5: Where the money goes. Markup is not in this picture: 85% of it goes to depositors, 10% to the manager and 5% to the bucket's loss reserve.

Supply

One billion SCR, fixed. No emissions beyond it.

Allocation	Share	Unlock
Airdrops, in seasons	25%	10% at launch, the rest over later seasons, delivered staked
Community incentives and grants	10%	Streamed over 5 years
Reserve sales	10%	Sold only at or above reserve value per token
Pool liquidity	4%	At launch, never withdrawn
Protocol's own backstop stake	3%	Staked for good
Team, co-founders, hires, advisors	20%	1 year cliff, then 3 years linear
Investors	18%	Same lock as the team
Treasury and development	10%	Streamed over 5 years

Points and airdrops

Early users earn points. Traders earn them per USDC of markup paid. Depositors earn them per USDC per day deposited. Volume earns nothing, so farming points means paying depositors. Airdrops arrive as staked SCR, which builds the backstop from day one. The token launches only after the vault has run on points for 6 to 12 months and has real fees.

9 Rising and falling markets

We would rather tell you where the money stops than pretend it never does.

	Rising market	Falling market
Depositor yield	Markup at high utilisation; the surplus over 9% fills the payout reserve	Markup at lower utilisation; the payout reserve tops it up, and idle deposits are handed back
Backstop fund	10% of traders' net profit	Little or nothing
Liquidity reserve	SCR sales, buy fees and a tenth of the profit share	Sell fees only; sales stop because buyers leave

The reserves and the fund are built in good times and sized to last through bad ones. The fund and the liquidity reserve are seeded from the raise, because neither can be built in a bear market.

10 Shariah

We built this to answer the 2006 ruling point by point.

The ruling's objection	Sacred
Fees for delay are riba	The price is fixed once. Nothing ever grows.
A loan tied to a sale	There is no loan. The financing is the sale.
Selling what is not owned	Real assets, owned by the vault before it sells them.
Excessive risk	Low leverage, and a loss capped at the pledge.

What still needs a ruling. Fifteen points go to a Shariah board before launch. The big ones: whether BTC and ETH can be sold on deferred payment, whether owning the asset within one transaction counts as possession, the early settlement waiver, limited recourse, forced sale before the due date, the leverage ceilings, the profit share, and the stakers' reward. If the board says no to any of them, the design changes.

11 Launch

We launch guarded and open up slowly.

1. **Term mode first.** BTC and ETH, 7 and 14 day positions, low leverage.
2. **Whitelisted traders and depositors** at the start. Deposits capped at 1 million USDC, raised in steps.
3. **Points from day one.** No token yet.
4. **Margin mode at 3x to 5x, and evergreen positions,** as rulings arrive and the reserve grows.
5. **SCR** after 6 to 12 months of real fees.

12 Risks

- **Shariah.** A board may reject a key ruling. Some scholars reject crypto itself.
- **Smart contracts.** A bug could lose deposits or pledged assets. Audits, caps and a slow launch limit it.
- **Market.** A crash worse than March 2020 would exceed our backtests.
- **USDC and wrapped BTC.** A freeze or a broken peg hits every bucket.
- **Demand.** The 9% target rests on halal leverage demand that is unproven on chain. Deposits are admitted only as it grows.
- **Liquidity.** When idle cash is short or a position's cover is thin, depositors may wait two or three weekly cut-offs to exit.
- **Keepers.** An outage on every forced sale is the tail risk in margin mode: depositors lose in 1.5% of simulated years.

- **SCR.** Its price can fall when it is needed most. That is why the backstop pays in USDC first.
- **Regulation.** How UAE law classes this product is not settled.

The simplest thing that works. A sale, a pledge and a partnership. Elegance just happens to follow.